

Mining — background [¶28-053]

[¶28-053]

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For the 2013–14 and earlier income years, the various aspects of mining activities were dealt with under a complex series of provisions. These provisions applied when the company's only or main source of income was from the mining of any specified mineral (not petroleum), or when the only or main activity of the company was prospecting for any specified mineral.

In more general terms, an amount derived from the disposal of minerals taken from land was income and the cost of a non-specified mineral was an allowable deduction, subject to general limitations.

From the 2014–15 income year

For the 2014–15 and later income years, the previous highly concessionary rules were replaced with provisions designed to more closely align the treatment of specified mineral miners with that of taxpayers more generally, while accommodating some of the more unique aspects of the mineral mining industry. The main changes included:

- # immediate deductibility of prospecting and exploration expenditure, with some clawback rules for exploration expenditure that results in an asset used in commercial production
- # tax deductions for development expenditure to be spread over the assumed life of the mine
- # mining rehabilitation expenditure to be deductible in the year it is paid
- # mineral extraction expenditure to be taxed under ordinary capital/revenue rules
- # revenue account treatment for land acquired for the mining operations or associated mining operations, and
- # standard depreciation rules for assets whose useful life is independent of the life of the mine.

The discussion in the following paragraphs considers the provisions applying from the 2014–15 income year. For a discussion of the taxation of mining companies under those provisions applying prior to the 2014–15 income year, see CCH, *New Zealand Master Tax Guide 2014*.

Last reviewed on 10 January 2024

Mineral miner [¶28-055]

[¶28-055]

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The rules apply to all “mineral miners”. The definition of a “mineral miner” is no longer restricted only to mining companies. The rules therefore apply to all persons:

- # whose only or main source of income is the business of mining listed industrial minerals (specified minerals under the former rules) in New Zealand, or

- # whose only or main activity, or proposed activity, is exploring, searching or mining for a listed industrial mineral in New Zealand or performing development work for those purposes.

Work done on a service for reward basis does not make a person a mineral miner unless the reward is dependent on the production of the mineral or the participation of profits from the mineral's production.

Law: IT07 ss [CU 6](#), [CU 8](#)

Last reviewed on 10 January 2024

Income of a mineral miner [¶28-060]

[¶28-060]

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Amounts derived by a mineral miner from their mining operations or associated mining operations are income of the mineral miner.

Under the rules, “mining operations” cover exploring or searching for minerals, performing development work, extracting minerals, mining and other work directly related to mining. “Associated mining operations” cover activities carried on in association with mining and consist of accumulation, initial treatment and transport of minerals up to a stage where they are saleable or ready to be processed or used in manufacturing operation.

In addition, an amount derived on the disposal of land, or an interest in land, acquired by a mineral miner for their mining operations or associated mining operations is income of the mineral miner where the land is, or forms or is intended to form part of, a mining permit area or land adjacent to it.

Consideration derived on the disposal of:

- # a mining or prospecting right
- # an exploration, prospecting or mining permit, or
- # a share or partial interest in one of the above

is also income of a mineral miner. The exception to this is in the case of a farm-out arrangement. The provision dealing with farm-out arrangements and petroleum mining has been extended to apply to mineral mining. Farm-in expenditure under a farm-out arrangement is excluded income of the mineral miner that is the farm-out party.

Clawback of exploration expenditure

The government recognises that expenditure will be incurred that, at the time, may be exploration or development expenditure, with its true categorisation only becoming apparent in hindsight. To deal with these situations, a recovery or clawback rule applies to expenditure that is deducted as exploration expenditure but which actually results in an asset that is used for commercial production, and the mineral miner is treated as deriving income. For the clawback rule to apply, the following criteria must be met:

- # the expenditure is treated as exploration expenditure
- # the mineral miner is allowed a deduction for it
- # the year is later than the 2013–14 income year
- # the expenditure is incurred in an income year for which the mineral miner is required to keep records
- # the expenditure results in an asset, and
- # the miner uses that asset for or in relation to the commercial production of a mineral.

The amount of income is the amount of expenditure that produced the asset, although it is capped at the amount of the deduction taken. The income is allocated to the income year in which the relevant asset is used in commercial production.

For these purposes, commercial production means the extraction of a listed industrial mineral from a permit area and the production of the mineral in commercial quantities on a continuing basis to a stage at which it is in a saleable form and suitable location for delivery to a buyer, consumer, processor or user.

Law: IT07 ss [CU 1](#), [CU 2](#), [CU 3](#), [CU 4](#), [CU 7](#), [CU 9](#), [CX 43](#)

Last reviewed on 10 January 2024

Deductions for a mineral miner [¶28-065]

[¶28-065]

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Most expenditure of a mineral miner must be divided into the following categories, dependent on the phase of the mine in question:

- # mining prospecting expenditure (see [¶28-070](#))
- # mining exploration expenditure (see [¶28-075](#))
- # mining development expenditure (see [¶28-080](#)), and
- # mining rehabilitation expenditure (see [¶28-085](#)).

Other types of expenditure are:

- # expenditure on land (see [¶28-090](#))
- # expenditure on the acquisition of mineral mining assets (see [¶28-095](#)), and
- # all other expenditure (see [¶28-100](#)).

All of the main types of expenditure are treated as mutually exclusive — each category specifically excluding any amounts that fall within another category.

As expenditure will generally relate to a “permit area”, the definition of that term has been expanded to include mineral mining activities.

Law: IT07 subpart [DU](#)

Last reviewed on 10 January 2024

Mining prospecting expenditure [¶28-070]

[¶28-070]

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Mining prospecting expenditure of a mineral miner is immediately deductible.

“Mining prospecting expenditure” is defined to mean expenditure incurred directly in relation to the acquisition of a prospecting right or mining prospecting information, including labour, materials, services and administration expenses directly incurred in acquiring the information. The term includes prospecting for minerals by electrical, geochemical, gravimetric, magnetic, radioactive, seismic or other geological methods.

“Mining prospecting information” is defined to mean geological, geophysical or technical information that is about the presence, absence, extent or volume of minerals in an area, or likely to assist in determining this.

Specifically excluded from “mining prospecting expenditure” are the costs of land, plant or machinery, expenditure that falls into one of the other main classes of expenditure and residual expenditure. Plant and machinery acquired is subject to the general capital/revenue distinction. To the extent they are capital and depreciable, they will be subject to the normal depreciation rules at the appropriate rate.

Law: IT07 ss [DU 1](#), [DU 9](#)

Last reviewed on 10 January 2024

Mining exploration expenditure [¶28-075]

[¶28-075]

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Mining exploration expenditure is also immediately deductible, except when the clawback rule discussed in [¶28-060](#) applies.

Where the clawback rule applies, the exploration expenditure is effectively reclassified as mining development expenditure and subject to the spreading rule for that type of expenditure, discussed in [¶28-080](#).

“Mining exploration expenditure” means expenditure that a mineral miner incurs in exploring or searching in New Zealand for minerals, and includes expenditure the miner incurs directly in relation to:

- # acquiring an exploration right or permit
- # geological mapping and geophysical surveys
- # systematic searches for areas containing minerals
- # searching by drilling in areas containing minerals, and
- # searching for ore containing minerals within or in the vicinity of an ore body by crosscuts, drilling, drives, rises, shafts or winzes.

The term does not include the cost of land, plant or machinery, expenditure that falls into one of the other main categories, and residual expenditure.

Law: IT07 ss [DU 1](#), [DU 10](#)

Last reviewed on 10 January 2024

Mining development expenditure [128-080]

[128-080]

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Mining development expenditure is capitalised and deducted over the life of the mine.

Mining development expenditure means:

- # expenditure incurred in preparing a permit area for mining operations or associated mining operations, or
- # expenditure on operations that are carried out on a permit area for deriving income and consist of mining, performing work directly related to mining or earthworks, including tailing dams, that are necessary for working the mine.

In either case, the expenditure must relate to a permit area.

There are a number of specific inclusions for expenditure incurred in:

- # acquiring a mining right or permit
- # obtaining resource consents
- # establishing mine infrastructure on plant or machinery, including vehicles or vessels, production equipment or facilities, or storage facilities, and
- # providing or contributing to the cost of providing utility services to the operations in the permit area.

“Mining development expenditure” does not include the cost of land, operational expenditure (being expenditure incurred in the day-to-day operation of a mine after production has commenced that does not create, or contribute to the creation of, an asset with an expected life of more than one year), expenditure that falls into one of the other main categories, and residual expenditure. In addition, the term does not include any expenditure incurred on property after commercial production has begun that has an estimated useful life independent of the mine. This is intended to capture ongoing expenditure of the mining operations, including plant and machinery purchased after commercial production has begun, that should be deducted according to the estimated useful life of that asset.

Spreading rules for mining development expenditure

There are two spreading methods contained within the rules for mining development expenditure.

In both cases a deduction for the expenditure is denied until the mineral miner starts to use the permit area to derive income. The expenditure is then spread either on the basis of units of production or over the assumed life of the mine.

Units of production basis

To apply the units of production basis (sometimes known as the “reserve depletion” basis), the mineral miner must either use IFRS rules to prepare their financial statements, or keep appropriate records that are sufficient to enable the Commissioner to verify the calculations used. A mineral miner that satisfies this requirement can then choose whether to spread the expenditure on the basis of units of production or over the assumed life of the mine. Miners who do not satisfy the requirement, or who choose not to allocate expenditure under the units of production method, must adopt the assumed life of the mine method. If a miner elects to use the unit of production method, they may make an election in their return of income for the income year that is the first year in which the miner’s commercial production of a listed industrial mineral starts. Any such election is irrevocable.

If the miner elects to spread on the basis of units of production, the deduction for the expenditure incurred and allocated to an income year is calculated using the following formula in s [EJ 20E\(3\)](#):

$$\frac{(\text{reserve expenditure} \# \text{ previous expenditure}) \times \text{reserve depletion for the year}}{\text{proven and probable reserves}}$$

In the formula:

reserve expenditure is the total mining development expenditure (including clawed back exploration expenditure) for the permit area for the income year and earlier income years to which the section applies

previous expenditure is the total expenditure for the permit area that has been allocated to an earlier income year to which the section applies

reserve depletion for the year is the amount of a listed industrial mineral produced from the permit area for the income year, and

proven and probable reserves is the amount of the proven ore reserves and probable ore reserves of the listed industrial mineral for the permit area as set out in the reserve statement for the area, provided the reserve statement is prepared in accordance with a classification code recognised for the purposes of estimating reserves and resources under the Crown Minerals (Minerals other than Petroleum) Regulations 2007.

The amounts of the reserve depletion for the year and the proven and probable reserves must be expressed in an appropriate unit of measure as set out in the mineral miner's reserve statement and must be the same measure used in the formula for the items defined above.

Example 1:

Miner A is in year three of commercial production of a permit area and its total development expenditure to date has been \$50m. In the previous two years, Miner A has deducted \$10m under the reserve depletion method. The latest reserve statement estimates that 1,000 proven and probable units of the mineral remain in the permit area. In year three, Miner A produces 250 units.

Using the formula, Miner A will be allowed a deduction in year three of:

$$(\$50m - \$10m) \times 250/1000$$

$$= \$40 \times 0.25$$

$$= \$10m$$

Example adapted from *Tax Information Bulletin* [¶264-105 Vol 26, No 4](#), May 2014 at 36.

Assumed life of the mine

If the expenditure is to be spread over the assumed life of the mine, the following formula applies:

$$\text{rate} \times \text{value}$$

In the formula:

value is the adjusted tax value or the diminished value of the expenditure, as appropriate.

rate, to determine the relevant "rate", the calculation in s [EJ 20D](#) must be undertaken and the "rate" will then be the rate set out in [sch 12](#), column 2 (for the straight line rate) that is nearest to the amount determined under that calculation. If the mineral miner chooses to use the diminishing value method, the "rate" will be the rate set out in [sch 12](#), column 1 (for the diminishing value rate) that corresponds to the relevant straight line rate.

The formula in s [EJ 20D](#) is:

$$100\% \div \text{assumed life}$$

In the formula:

Assumed life is a self-assessed determination of the life of the mine. For a mineral miner that uses an amortisation period for the mine for accounting purposes, the assumed life cannot be less than the accounting amortisation period. If a mineral miner is not required to use an amortisation period for their accounts, they must estimate the reasonable period they expect the permit area to accommodate commercial production. The assumed life cannot be more than 25 years from the later of the date commercial production begins in the permit area and the date on which the expenditure is incurred.

A miner must reassess the assumed life of a mine at the end of each year and the figure arrived at will apply in the formula for the next income year. This is because, as a mine develops, it may be that an additional mineral deposit is discovered, which increases the assumed life, or that some factor results in the assumed life reducing.

The spreading period starts from the later of:

- # the first day of the income year in which the mineral miner's commercial production of a mineral from the permit area starts, or
- # the first day of the income year in which the expenditure is incurred, and

ends on the last day of the income year in which the expiry of the assumed life of the mine.

Example 2:

Miner B is in year one of commercial production and has incurred \$50,000 in development expenditure on the permit area. Miner B is not required to use an amortisation period for its accounts. Using the information at its disposal, Miner B considers that it will be commercially producing minerals from the site for three years. Miner B wants to use a straight-line depreciation method.

Using the formula:

$$100\% \div \text{assumed life}$$

Miner B must calculate the depreciation rate in [sch 12](#) using the rate closest to 33.33%. The closest rate in the schedule is 30%. Using the formula in s [EJ 20B](#):

$$\text{rate} \times \text{value}$$

Miner B's deduction in year one is: $30\% \times \$50,000 = \$15,000$.

Example from *Tax Information Bulletin* [T264-105 Vol 26, No 4](#), May 2014 at 36.

A mineral miner may choose to allocate expenditure under either of these methods in relation to a mine, rather than in relation to a mining permit area, but only if the mineral miner uses IFRS rules to prepare their financial statements and the allocation is permitted for the purposes of their statements.

Law: IT07 ss [DU 6](#), [DU 7](#), [DU 8](#), [DU 11](#), [EJ 20B](#), [EJ 20C](#), [EJ 20D](#), [EJ 20E](#), [sch 12](#)

Last reviewed on 10 January 2024

Mining rehabilitation expenditure [¶28-085]

[¶28-085]

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Mining rehabilitation expenditure is deductible in the income year in which the amount is incurred.

As the payment of mining rehabilitation expenditure may occur after the conclusion of a miner's income earning activity, the rules allow for the generation of a tax credit. This is discussed below.

"Mining rehabilitation expenditure" means expenditure incurred directly in relation to the rehabilitation of the permit area land carried out as a result of:

- # the miner's permit requirements
- # the requirements of an access arrangement issued under the Crown Minerals Act 1991 or regulations made under that Act
- # an obligation of the miner under the Resource Management Act 1991 or regulations made under that Act
- # a concession under the Conservation Act 1987
- # an authority under the Historic Places Act 1993, and

includes amounts paid to restore, or towards restoring, the area of the operations either during or after those operations have ceased. Once again, it excludes the cost of the land itself, any expenditure that falls within one of the other categories, and residual expenditure.

Law: IT07 ss [DU 2](#), [DU 12](#)

Last reviewed on 10 January 2024

Land of a mineral miner [¶28-090]

[¶28-090]

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Consideration derived from the disposal of land is treated as income of a mineral miner where the land is, or forms or is intended to form part of, a mining permit area or land adjacent to it: see [¶28-060](#).

A mineral miner is allowed a deduction for land or interests in land acquired.

However, no deduction is available for expenditure on land that does not constitute a mining permit area or land adjacent to it, or does not form, or is not intended to form, part of a mining permit area or land adjacent to it. A deduction is also denied if the expenditure is mining prospecting expenditure. In addition, any expenditure for which the miner has a deduction before disposing of the land or interest in land is also excluded.

The deduction is allowed in the income year the miner disposes of the land or interest in land. This means that the timing of this deduction will match any income derived under the rules, and so a net income amount or deduction will be available in that year, depending on whether the land is sold for a profit or loss.

The disposal of land may be the final act of a miner's operations, so it could occur in a period when no income-earning activity takes place. As for mining rehabilitation expenditure, any loss attributable to land sales may be eligible for a tax credit under the rules in s [LU 1](#), discussed in [¶28-105](#).

Law: IT07 ss [DU 3](#)

Last reviewed on 10 January 2024

Deductions for mineral mining assets [¶28-095]

[¶28-095]

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Expenditure on the acquisition of a mineral mining asset is either immediately deductible or spread under one of the two available methods, depending on the timing of its acquisition. If the asset is acquired before the date a mining permit for the permit area to which the asset relates is obtained, then the expenditure is immediately deductible. Once a mining permit has been obtained, expenditure incurred on acquiring a mineral mining asset is treated as mining development expenditure and is therefore spread.

Expenditure for these purposes does not include the actual application costs for a mining right or permit.

The purchaser of a mineral mining asset is eligible for a deduction for that expenditure (either immediately or over time) and the person disposing of that asset will treat the consideration received as income (as discussed above).

However, if a person, instead of acquiring the mineral mining asset outright, agrees to incur farm-in expenditure, the rules clarify that this expenditure is to be treated as if it were the applicable class of mining expenditure. If, for example, the expenditure was classified as development expenditure, the farm-in party would be allowed a deduction for that amount under one of the spreading methods. As the existing rights holder is not getting any money from the farm-out arrangement, the expenditure of the farm-in party is excluded income to the farm-out party.

Law: IT07 ss [DU 4](#), [DU 5](#)

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Other types of expenditure of a mineral miner [¶28-100]

[¶28-100]

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Other types of expenditure not covered by the rules are covered by the appropriate general rules set out in the Act. This includes the application of the capital/revenue distinction in determining whether expenditure is immediately deductible, deductible over time or not deductible.

Last reviewed on 10 January 2024

Tax credits for mineral miners [¶28-105]

[¶28-105]

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Subpart [LU](#) allows mineral miners a refundable credit in circumstances when the miner has a net mining tax loss for a mining permit area for the income year that is greater than the net income of the miner for the income year from all other sources (the difference being the excess amount). To calculate this, the miner's net mining loss is treated as if their only income were income derived from the mining permit area and the miner's net income from other sources is treated as if there were no income from the mining permit area. The value of this credit is limited to the total income tax liability attributable to the relevant permit area.

For a mineral miner to obtain a tax credit, the miner must also have either:

- # incurred an amount of mining rehabilitation expenditure
- # disposed of land for a loss, or
- # incurred mining development expenditure in relation to a mining permit area for which the mining permit has been relinquished, revoked or surrendered or has expired and the miner has no existing privilege for the permit area.

The amount of the tax credit is calculated using the following formula:

$$\text{expenditure or loss} \times \text{tax rate}$$

The "expenditure or loss" is the excess amount referred to above to the extent to which it consists of the amounts listed above.

The total amount of the credit will be limited to the lesser of:

- # the result of the formula, and
- # the income tax paid by the miner on net income derived for all earlier tax years to the extent to which it relates to the permit area, calculated on a year-by-year basis and aggregated.

Special rules apply to clarify the amount of the tax credit in cases where the credit is available to non-companies, that is trustees and individuals.

The rules also clarify that any loss giving rise to a credit does not form part of a tax loss component or net mining loss of the miner. This is to prevent a miner from claiming a credit and also using the same loss to offset any future income.

The credit generated is refundable.

Law: IT07 s [LU 1](#)

Last reviewed on 10 January 2024

Anti-avoidance rules for mineral miners [¶28-110]

[¶28-110]

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The anti-avoidance rules in s [GB 20](#) that apply to petroleum miners have been extended so that they also apply to mineral miners.

The section now applies when an arrangement includes the disposal of a mineral mining asset, the incurring of one or more of the classes of mineral mining expenditure, or a farm-out arrangement, and the arrangement has a purpose or effect of tax avoidance. In those circumstances, the Commissioner may adjust the taxable income of any person affected by the arrangement so as to counteract any tax advantage obtained by the person.

Several types of arrangements involving the disposal of a mining asset, the incurring of mining expenditure or the entering into a farm-out arrangement are specifically included within the section as arrangements having the effect of tax avoidance.

Law: IT07 s [GB 20](#)

Last reviewed on 10 January 2024

Consolidation regime and mining companies [¶28-117]

[¶28-117]

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A mineral miner that is a company may form a consolidated group only with other companies that are mineral miners. See also [¶20-010](#) for a discussion of consolidation.

Law: IT07 s [FM 31\(2\)\(b\)](#)

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Tax losses [¶28-118]

[¶28-118]

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For discussion on the rules for carrying forward tax losses by a company that is a mineral miner, see ¶18-045.

Law: IT07 s [1A 7\(7\)](#), [\(8\)](#), subpart [1S](#)

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Petroleum mining — background [¶28-120]

[¶28-120]

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The current tax regime for petroleum mining was enacted in 1990 to replace earlier provisions based on the Petroleum Act 1937. That Act was replaced by the Crown Minerals Act 1991 which, among other things, provided for farm-out agreements and the issuing of exploration and development permits rather than licences as under the old Act. While this revised regime was stated to apply from 1 October 1991, it has generally applied to petroleum mining expenditure incurred and farm-out agreements entered into on and after 16 December 1991.

Law: IT07 subparts [CT](#), [DT](#)

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Overview of current regime for petroleum mining [¶28-125]

[¶28-125]

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The principal effects of the current petroleum mining provisions are as follows:

- # Ring-fencing of certain expenditure — expenditure incurred on petroleum mining operations undertaken through a branch in another country cannot be deducted from income earned in New Zealand: see s [DT 1A](#).
- # Petroleum exploration expenditure may be deducted in the year it is incurred: see s [DT 1\(1\)](#).
- # The deduction for petroleum development expenditure is spread over seven income years: see s [EJ 12](#). This is the default allocation rule and amortises expenditure under the straight-line method.
- # Offshore petroleum development expenditure deductions begin in the year the expenditure is incurred: see s [EJ 12\(2\)](#).
- # Alternatively, the reserve depletion method may be employed. This provision allows development costs to be amortised in a manner that better reflects the allocation of development costs over the life of the field. Election to utilise this method must be made by election in the first year of commercial production. See s [EJ 12B](#).
- # Where a petroleum miner permanently ceases petroleum mining operations, stops drilling because a well is dry or a well stops producing petroleum in commercial quantities, the balance of the deductions for petroleum development expenditure not yet spread is deductible in the year the operations cease, the well is dry or it stops producing commercial quantities. See ss [EJ 13](#), [EJ 13B](#) and [EJ 13C](#).
- # The income of a petroleum miner includes any consideration received from the disposal of:
 - # a petroleum mining asset (ie a petroleum permit or a permit-specific asset), or
 - # exploratory material (ie anything acquired as a result of exploratory well expenditure or prospecting expenditure): see s [CT 1](#).
- # The income of a petroleum miner includes any consideration received for damage to a permit-specific asset: see s [CT 2](#).
- # Decommissioning expenditure incurred is deductible in the income year(s) in which it is incurred: see s [DT 16](#).
- # The cost of repair of a damaged permit-specific asset is deductible in the income year the cost is incurred: see s [DT 12](#).
- # A person who acquires a petroleum mining asset is treated as having incurred certain kinds of petroleum-related expenditure according to the asset acquired, as follows:
 - # petroleum exploration expenditure includes consideration paid for the purchase of an existing privilege, a prospecting permit for petroleum or an exploration permit for petroleum
 - # petroleum exploration expenditure includes consideration paid to acquire exploratory material, and
 - # petroleum development expenditure includes consideration paid to acquire a petroleum mining asset (excluding an existing privilege, a prospecting permit for petroleum and an exploration permit for petroleum).

In each case, the expenditure in question is treated as having been incurred in the income year the petroleum mining asset is disposed of by the petroleum miner to the purchaser.

A petroleum miner is eligible for a refundable credit for the following amounts:

- # any decommissioning expenditure in the year it is incurred, and
- # any development expenditure that has not been deducted at the time commercial production ceases.

The refundable credit is calculated by multiplying the qualifying expenditure by the petroleum miner's current tax rate. The maximum refundable credit is limited to income tax paid by the petroleum miner, or a consolidated group it is a member of, in prior years. The exception to this is when a petroleum miner is decommissioning operations outside New Zealand, in which case the maximum refundable

credit is limited to income tax paid on petroleum mining operations outside New Zealand. Any expenditure qualifying for a refundable credit will be added back as income if production restarts. See ss [CT 5B](#), [DT 7B](#), [EJ 13](#), [LA 6\(1\)\(ib\)](#), [LT 1](#) and [LT 2](#).

Farm-out arrangements are generally the transfer of licence or licence share in return for work or work expenditure undertaken by the farm-in party: see s [YA 1](#). The expenditure incurred on the part of the farm-in party is excluded income of the farm-out party if that expenditure is specifically used for exploring or developing that particular permit: see s [CX 43](#). (Farm-outs occur when a firm that has discovered hydrocarbons under a permit seeks to bring in a new investor to share the development cost and are the main method of spreading risk and injecting capital into petroleum exploration programmes.)

The farm-in expenditure incurred by the farm-in party is treated as if it were petroleum development expenditure, exploratory well expenditure or prospecting expenditure, as applicable. The farm-in party is allowed a deduction for the farm-in expenditure incurred under the farm-out arrangement. See s [DT 14](#).

The consideration derived from the disposition of shares or trust interests in a controlled petroleum mining entity is excluded income and no deduction is allowed for the cost of shares or trust interests in a controlled petroleum mining entity. See ss [CX 42](#) and [DT 13](#).

A controlled petroleum mining entity is defined to mean one of the following:

a controlled petroleum mining company, ie a company that is a petroleum miner where:

- at least 90% of the shareholding is held by or for five or fewer persons, and
- the market value of any petroleum permit, and any petroleum specific assets attributable to that permit, is at least 75% of the net assets of the company as shown in its audited financial statements or accounts prepared in accordance with generally accepted accounting practice

a controlled petroleum mining holding company, ie a company where:

- at least 90% of the shareholding is held by five or fewer persons, and
- at least 75% of the net assets of the company, as shown in its audited financial statements or accounts prepared in accordance with generally accepted accounting practice, comprise the market value of shares in petroleum miners that are companies and petroleum mining holding companies and trust interests in petroleum mining trusts and petroleum mining holding trusts

a controlled petroleum mining trust, ie a trust that is a petroleum miner where:

- at least 90% in value of the trust is owned by five or fewer persons, and
- the market value of a petroleum permit held by the trust, and any permit-specific assets attributable to that permit, is at least 75% of the net value of the assets of the trust as shown in the trust's accounts prepared in accordance with generally accepted accounting practice

a controlled petroleum mining holding trust, ie a trust that is a petroleum miner where:

- at least 90% in value of the trust is owned by five or fewer persons, and
- at least 75% of the net assets of the trust as shown in the trust's accounts, prepared in accordance with generally accepted accounting practice, comprise the market value of trust interests in petroleum mining trusts and petroleum mining holding trusts and shares in petroleum mining companies and shares in petroleum mining holding companies.

For the above provisions, associated persons are treated as one person. In other words, there is aggregation of the shareholdings and trust interests of associated persons to determine whether shares or trust interests are held by five or fewer persons.

Anti-avoidance provision

The petroleum mining regime contains an anti-avoidance provision directed at arrangements — including the disposal of any petroleum mining asset, the incurring of exploration expenditure, or a farm-out arrangement — that have the effect or purpose of tax avoidance. The Commissioner may adjust the taxable income of any

person affected by such an arrangement so as to counteract any tax advantage obtained by the person. See [s GB 20](#).

Determinations

Section [91](#) of the Tax Administration Act 1994 provides that certain questions relating to petroleum mining activities carried on by a petroleum miner are to be determined by agreement between the petroleum miner or petroleum miners affected and the Commissioner. In the absence of agreement, the Commissioner determines the question after consulting, if the Commissioner considers it necessary, organisations or persons with relevant expertise or information. The petroleum miner can contest the determination through the challenge procedures.

Law: IT07 subparts [CT](#), [DT](#), [LT](#), ss [CX 42](#), [CX 43](#), [CZ 32](#), [EJ 12](#), [EJ 12B](#), [EJ 13](#), [EJ 13B](#), [EJ 13C](#), [GB 20](#), [LA 6\(1\)\(ib\)](#), [YA 1](#) (“[controlled petroleum mining company](#)”, “[controlled petroleum mining entity](#)”, “[controlled petroleum mining holding company](#)”, “[controlled petroleum mining holding trust](#)”, “[controlled petroleum mining trust](#)”, “[decommissioning](#)”, “[farm-in party](#)”, “[farm-out arrangement](#)”, “[petroleum development expenditure](#)”, “[petroleum exploration expenditure](#)”, “[petroleum miner](#)”, “[petroleum mining asset](#)”, “[petroleum mining development](#)”, “[petroleum mining development expenditure](#)”, “[petroleum mining operations](#)”, “[petroleum mining permit](#)”, “[petroleum permit](#)”); TAA s [91](#)

Last reviewed on 10 January 2024

Prohibition against double-dipping of mining deductions [¶28-130]

[¶28-130]

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If a person is entitled to a deduction under s [DT 1](#) for petroleum exploration expenditure and has an arrangement under which:

- # the person or an associated person may dispose of property under the arrangement (or a right given by the arrangement, or in meeting an obligation arising from a right given by the arrangement), and
- # the property is not exploratory material, or a petroleum permit, or material or a permit that relates to petroleum mining operations undertaken outside New Zealand,

the amount of the deduction may be subject to an adjustment under s [DT 2](#) that effectively adjusts the deductible expenditure by the amount of consideration received for the property.

The deduction allowed is nil or the amount given by the following formula (whichever is the greater):

$$\text{expenditure} \# (\text{consideration} \# \text{lesser amount})$$

where:

expenditure is the amount of the expenditure that would be deductible in the income year under s [DT 1\(1\)](#)

consideration is the total consideration for the property that is derived before or during the income year, and

lesser amount is either the total amount of expenditure that would be deductible in earlier income years under s [DT 1\(1\)](#), or the amount of consideration as defined above (whichever is the lesser).

Under s [DT 2\(3\)](#) if consideration for the property is derived in an income year, the person's deductions in earlier income years for the expenditure referred to in s [DT 2\(1\)\(a\)](#) are adjusted so that the total of those deductions is nil or the amount given by the following formula (whichever is the greater):

$$\text{previous expenditure} \# \text{consideration}$$

where:

previous expenditure is the amount of expenditure that would be deductible in earlier income years under s [DT 1\(1\)](#), and

consideration is the total consideration for the property that is derived before or during the income year.

Example 1:

A person incurs \$50 expenditure in year 1 and derives \$70 as consideration in year 2 for property disposed of under an arrangement.

expenditure # (consideration # lesser amount)

Year 1: $50 \# (0 \# 0) = 50$

Year 2: $0 \# (70 \# 50) = \#20$

The deduction allowed in year 1 is \$50. The deduction allowed in year 2 is nil.

Because consideration is also derived in year 2, a further adjustment is required:

expenditure # (consideration # lesser amount)

Year 2: $50 \# 70 = \#20$

In year 2, therefore, the \$50 deduction in year 1 (the earlier income year) is reduced to nil.

Example 2:

A person incurs \$100 expenditure of which \$50 is deductible in year 1 and \$50 in year 2. In year 2, \$70 is derived as consideration for the disposition of property. The treatment of the \$50 of expenditure deductible in year 1 is as follows:

expenditure # (consideration # lesser amount)

Year 1: $50 \# (0 \# 0) = 50$

Year 2: $50 \# (70 \# 50) = 30$

A further adjustment is required because consideration has been derived in year 2.

previous expenditure # consideration

Year 2: $50 \# 70 = \#20$

The deduction for year 1 is reduced to nil. At the end of year 2 a \$30 deduction is allowed.

Examples from *Tax Information Bulletin* ¶116-107 Vol 11, No 6, July 1999.

The four-year time bar (see ¶4-110) does not apply to the application of s DT 2, ie the Commissioner may amend a person's assessment at any time to reflect the deductions allowed by s DT 2.

Law: IT07 s DT 2

Last reviewed on 10 January 2024

Exploration and development activities by non-resident company [¶28-135]

[¶28-135]

[Click to open document in a browser](#)

There is an exemption for income derived by a non-resident company from exploration and development activities in an offshore permit area. The exemption applies to income of this type that is derived in the four-year period from 1 January 2025 to 31 December 2029. (Note that previous exemptions have applied since the beginning of the 2005–06 income year.)

Exploration and development activities are the operation of a ship to provide seismic or electromagnetic survey readings or the drilling of an exploratory well or other well. These activities must be undertaken for the purposes of identifying and developing exploitable petroleum deposits or occurrences in an offshore permit area. Using a drilling rig of modular construction that is installed on an existing offshore platform is specifically excluded from being exploration and development activities.

An exploratory well is a well in a permit area that is drilled for the purpose of locating petroleum, confirming the existence, non-existence, quantity or composition of petroleum or ascertaining whether petroleum is recoverable in commercial quantities. A permit area is the area of land, and may include more than one area, covered by a petroleum permit or mining permit. An offshore permit area is an area of land in New Zealand that is on the seaward side of the mean high-water mark and is a permit area or part of a permit area.

Key legislation: IT07 ss [CW 57](#)

Last reviewed on 1 November 2024